

Rent-Invest vs Buy

Owner

Initial capital used for
down payment + purchase cost

Buy house

Mortgage loan

Mortgage payment

Mortgage
principal
(builds equity)

Mortgage
interest
(unrecoverable)

Property tax + Maintenance + Insurance

Unrecoverable Ownership Cost
(unrecoverable cash outflow)

Owner total cash outflow
(monthly cash requirement)

House market value

Estimated sale cost

Owner Net Worth
House market value - mortgage balance -
estimated sale cost

Same Starting Resources

- Initial capital: down payment + purchase cost
- Same monthly housing-budget framework

Renter-Investor

Initial capital kept for investing
Equivalent to down payment + purchase cost

Pay rent

Moving cost
(if any)

Invest in
stock portfolio

Renter
Unrecoverable Cost
(cash outflow)

Renter total
cash outflow
(monthly)

Investment portfolio

Net portfolio
growth

Monthly savings difference
Owner total cash outflow - renter total cash outflow

Monthly portfolio
contribution / withdrawal

Renter-Investor Net Worth
- Investment Portfolio Value
Initial capital + monthly contributions/withdrawals
+ net portfolio returns

Project comparison goal: compare
Owner Net Worth vs Renter-Investor Net Worth over time



\$1.52K

Owner Avg. Monthly Outflow

\$903

Renter Avg. Monthly Outflow

1.66%

Owner Cash Outflow CAGR

3.21%

Renter Cash Outflow CAGR

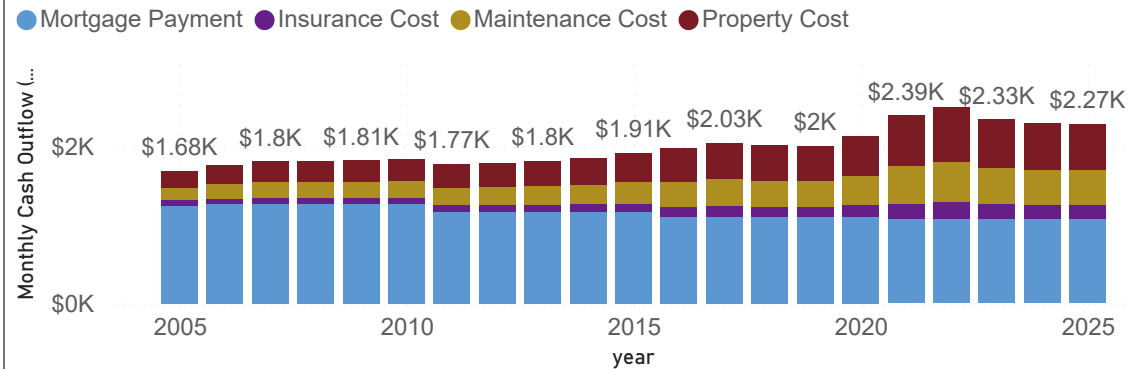
0.84

Owner / Renter Net Worth Ratio

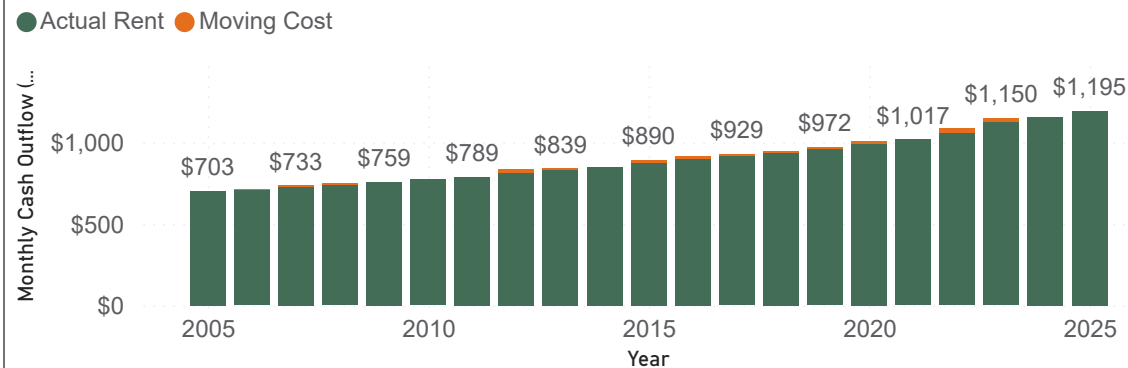
Renter-Investor

Winner Real Net Worth

Owner Monthly Cash Outflow by Cost Component



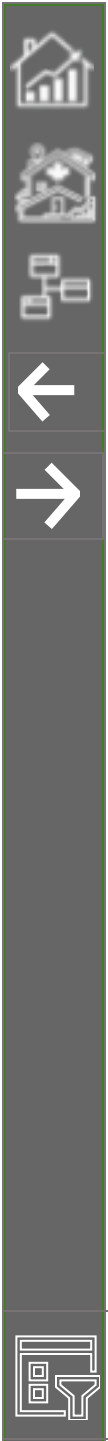
Renter Monthly Cash Outflow by Cost Component



Inflation-Adjusted Net Worth Ratio: Owner vs. Renter-Investor



Key Insights: Owner monthly cash outflow averaged 68% higher than the renter's (\$1.52K vs. \$903), but grew far more slowly — 1.66% annually against 3.21% for rent — since a fixed mortgage payment holds steady while rent compounds. The net-worth ratio moved through three phases: the renter led early, when purchase costs and a thin equity stake left the owner behind; housing appreciation and mortgage leverage then carried the owner ahead from around 2009 to a peak of **1.81** near the 2022 market high; and the subsequent correction erased that lead entirely, with the ratio crossing below 1.00 in 2024 and closing at **0.84**.



Market ▼

Toronto ▼

1.97

Average of Cash Outflow Ratio

1.53%

Owner Cash Outflow CAGR

4.05%

Renter Cash Outflow CAGR

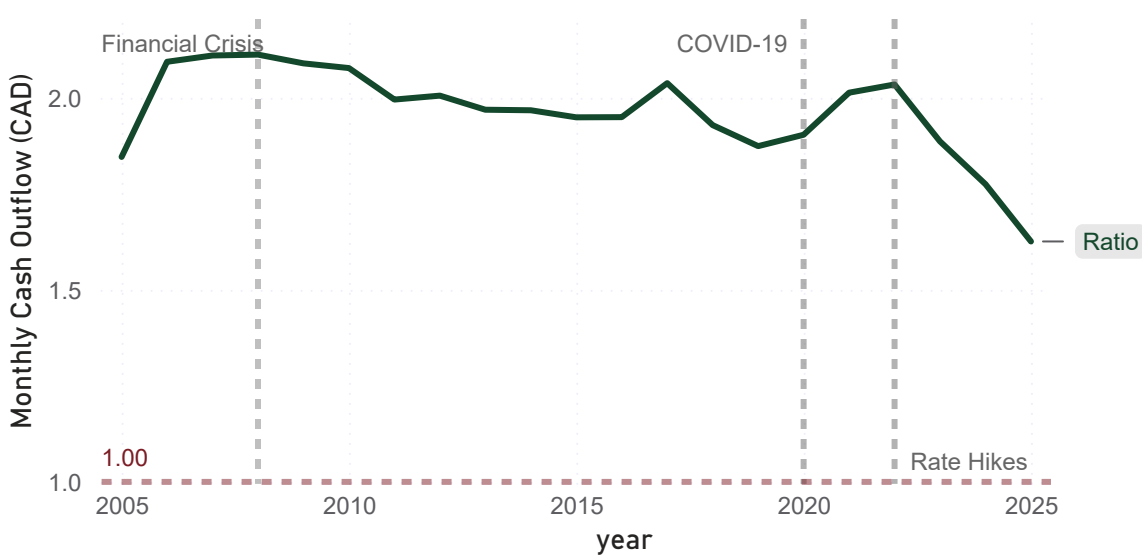
1.01

Owner / Renter Net Worth Ratio

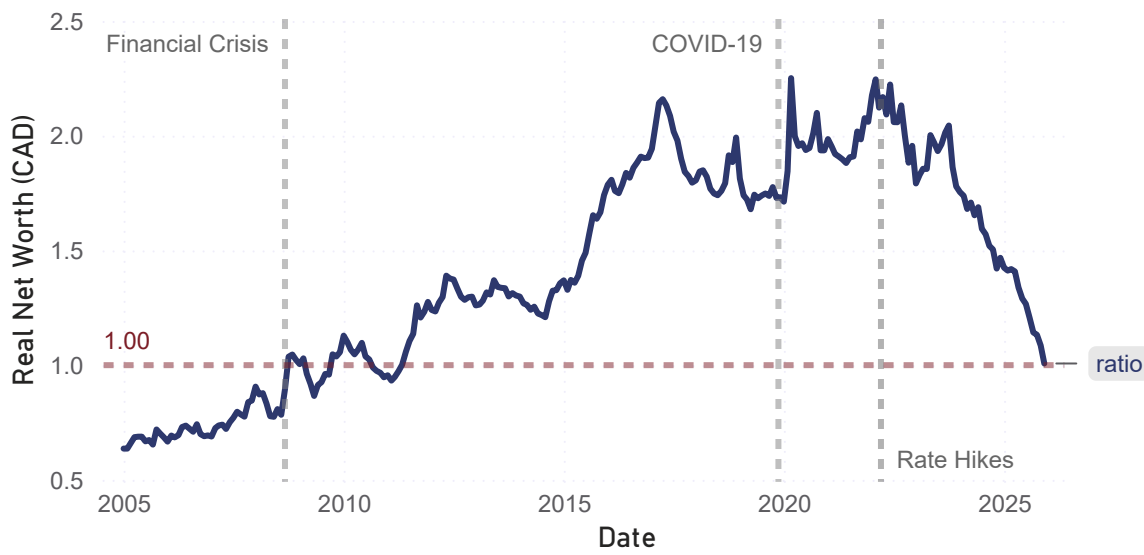
Owner

Winner

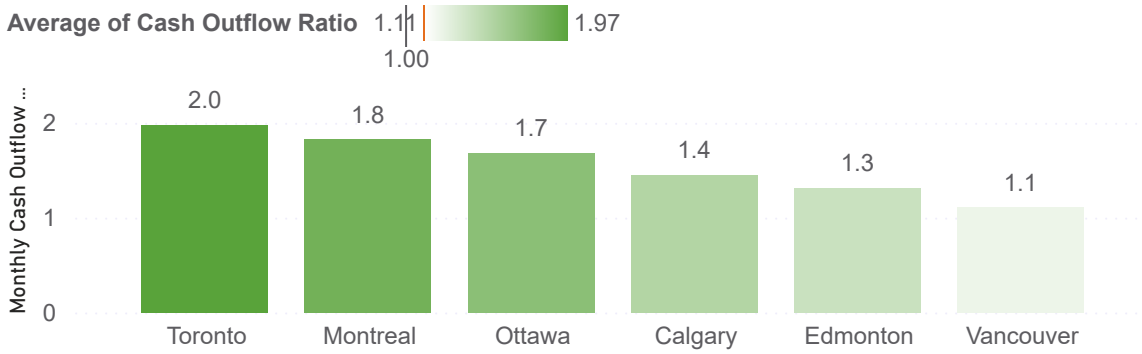
Average Monthly Cash Outflow Ratio: Owner vs. Renter-Investor



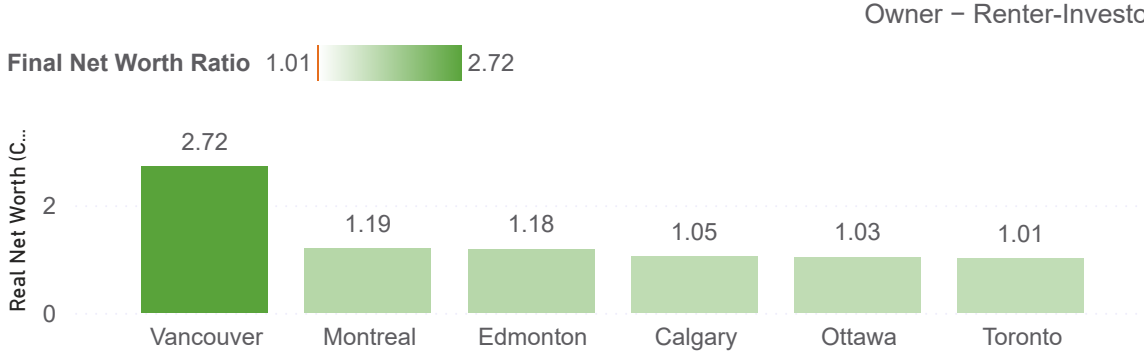
Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



Average Monthly Cash Outflow Ratio by City: Owner vs Renter-Investor



Average Final Inflation-Adjusted Net Worth Ratio by City





Market ▼

Toronto ▼

Purchase Year ▼

2005 ▼

Holding Period ▼

5 ▼

\$137K

Final Owner Real Net Worth

\$152K

Final Renter Real Net Worth

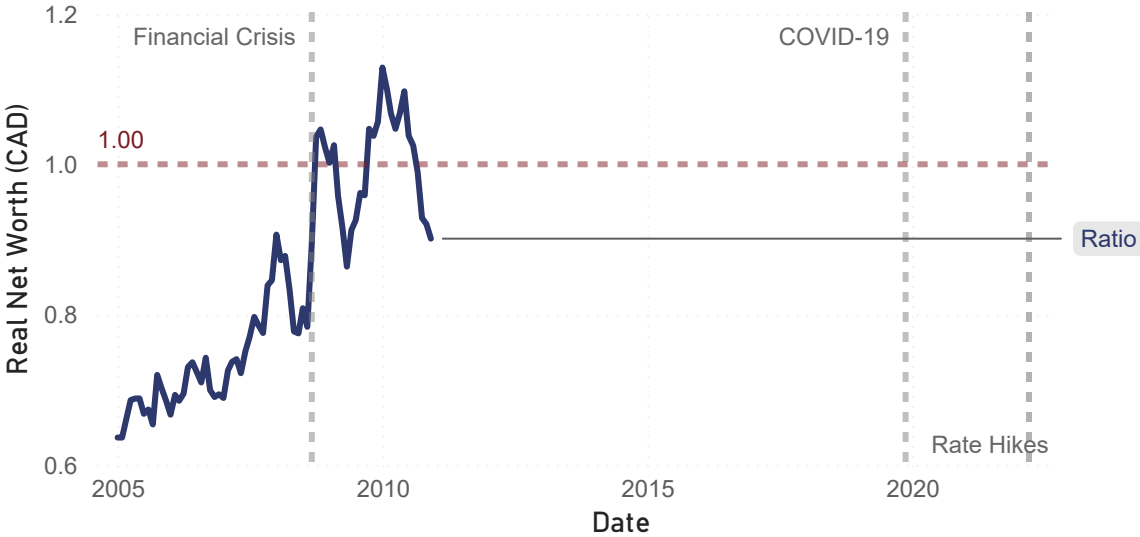
0.90

Owner / Renter Net Worth Ratio

Cash Outflow

Net Worth

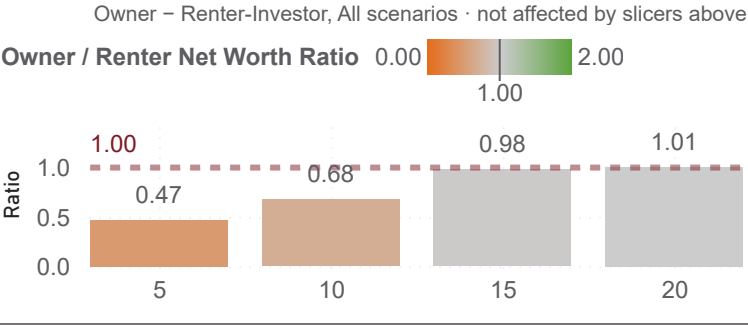
Inflation-Adjusted Net Worth Ratio: Owner vs. Renter-Investor



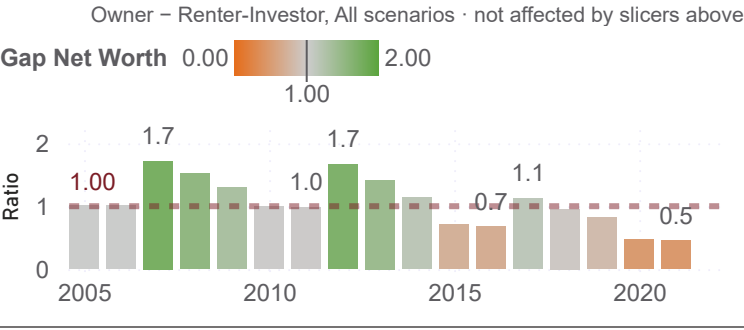
Final Inflation-Adjusted Net Worth Ratio by Purchase Year And Holding Period

Purchase Year	5	10	15	20
2005	0.90	1.67	1.87	1.01
2006	1.21	1.86	1.99	1.01
2007	0.98	1.55	1.72	
2008	1.01	1.69	1.52	
2009	1.13	1.56	1.29	
2010	1.65	1.88	0.99	
2011	1.61	1.82	0.98	
2012	1.52	1.67		
2013	1.59	1.42		
2014	1.33	1.14		
2015	1.31	0.71		
2016	1.32	0.67		
2017	1.13			
2018	0.96			
2019	0.82			
2020	0.41			
2021	0.39			

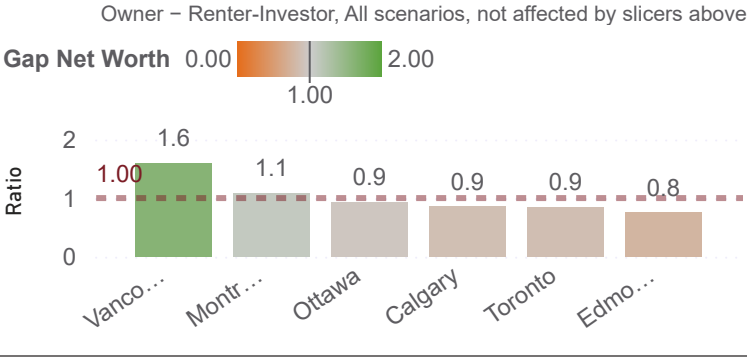
Average Final Inflation-Adjusted Net Worth Ratio by Holding Period



Average Final Inflation-Adjusted Net Worth Ratio by Purchase Year



Average Final Inflation-Adjusted Net Worth Ratio by City





city

Toronto

Purchase Year

2005

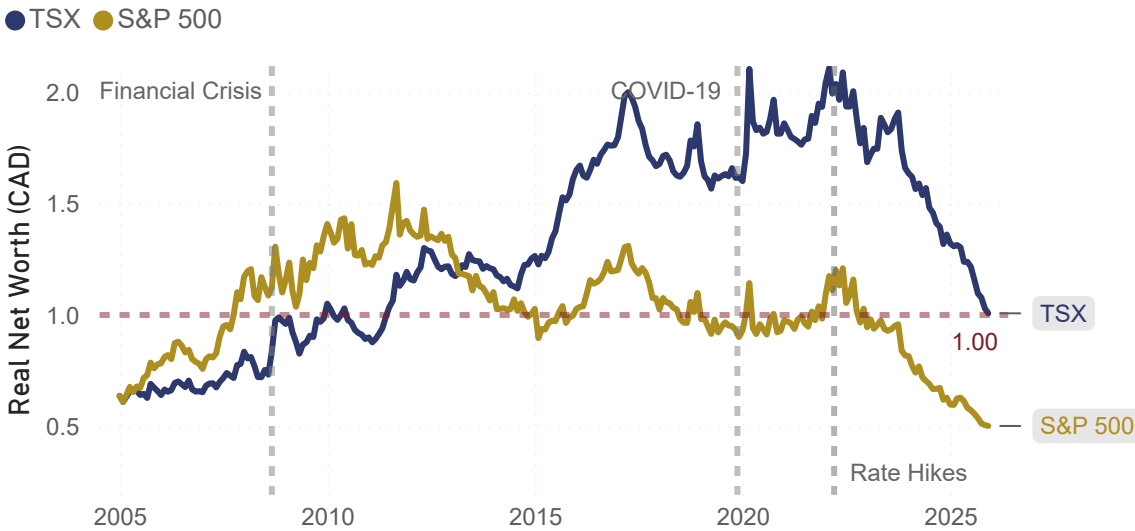
holding_years

20

0.50
Final Net Worth Ratio - S&P 500

1.01
Final Net Worth Ratio - TSX

Inflation-Adjusted Net Worth Ratio: Owner vs. Renter-Investor

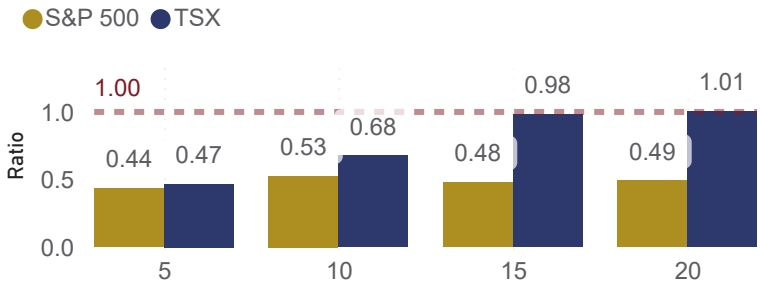


Final Inflation-Adjusted Net Worth Ratio by Purchase Year And Holding Period

Holding Period	5		10		15		20	
Purchase Year	TSX	S&P 500	TSX	S&P 500	TSX	S&P 500	TSX	S&P 500
2005	0.90	1.13	1.67	0.97	1.87	0.91	1.01	0.50
2006	1.21	1.28	1.86	1.17	1.99	0.96	1.01	0.49
2007	0.98	0.91	1.55	0.87	1.72	0.87		
2008	1.01	0.82	1.69	0.95	1.52	0.72		
2009	1.13	0.75	1.56	0.77	1.29	0.55		
2010	1.65	0.86	1.88	0.88	0.99	0.49		
2011	1.61	1.02	1.82	0.92	0.98	0.48		
2012	1.52	0.98	1.67	0.99				
2013	1.59	1.12	1.42	0.86				
2014	1.33	0.96	1.14	0.70				
2015	1.31	1.02	0.71	0.55				
2016	1.32	0.99	0.67	0.52				
2017	1.13	0.98						
2018	0.96	0.77						
2019	0.82	0.66						
2020	0.41	0.39						
2021	0.30	0.36						

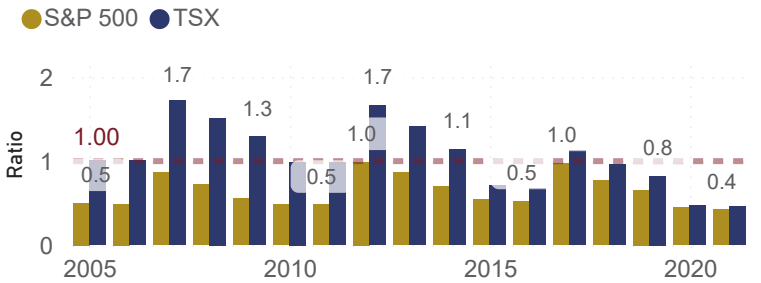
Average Final Inflation-Adjusted Net Worth Ratio by Holding Years and Portfolio

All scenarios · not affected by slicers above



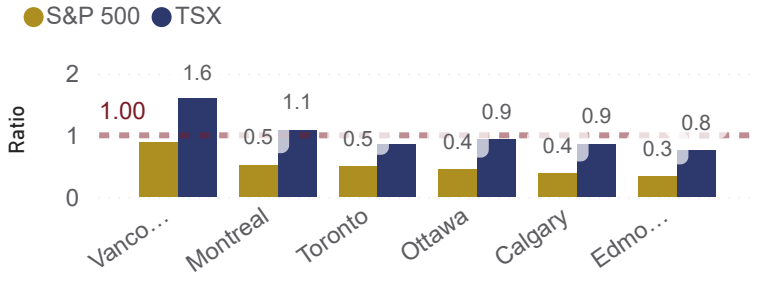
Average Final Inflation-Adjusted Net Worth Ratio by Purchase Year and Portfolio

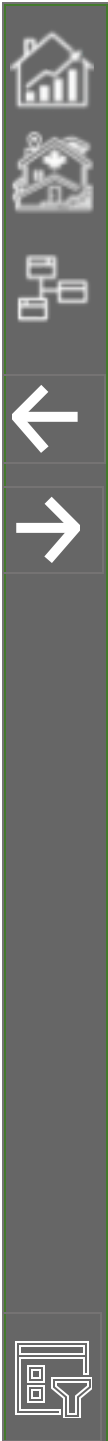
All scenarios · not affected by slicers above



Average Final Inflation-Adjusted Net Worth Ratio by City and Portfolio

All scenarios · not affected by slicers above





city

Canada

Purchase Year

2005

holding_years

20

0.84

Owner / Renter Net Worth Ratio — Base

0.73

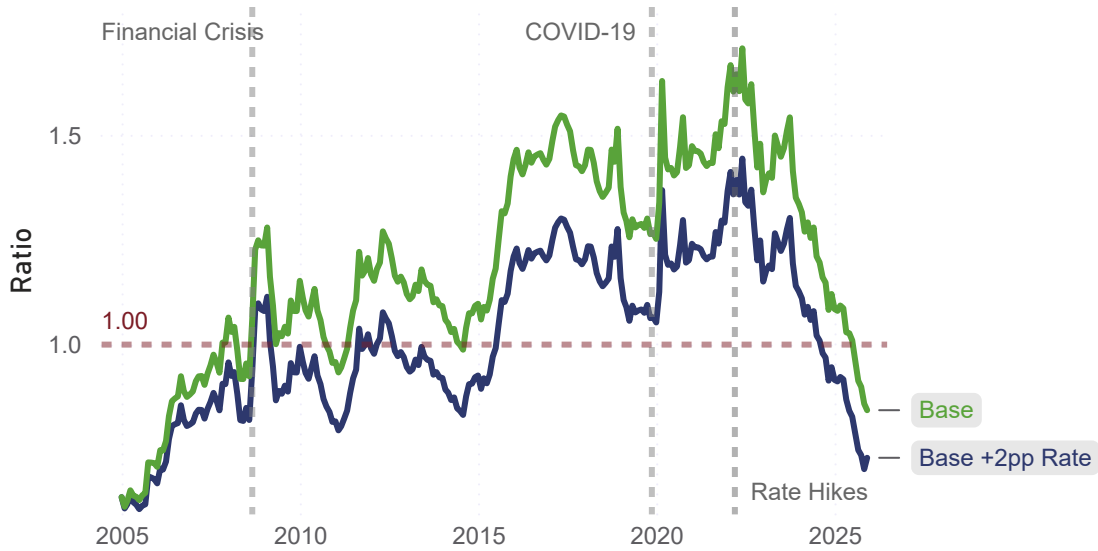
Owner / Renter Net Worth Ratio — Base +2pp

Owner Mortgage Payment

cash outflow

Net Worth

Mortgage Rate Impact on Inflation-Adjusted Net Worth: Owner vs. Renter-Investor



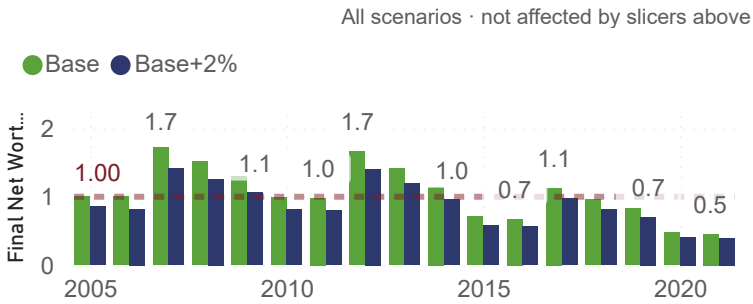
Final Inflation-Adjusted Net Worth Ratio by Purchase Year And Holding Years

Holding Period	5		10		15		20	
Purchase Year	Base	Base+2pp	Base	Base+2pp	Base	Base+2pp	Base	Base+2pp
2005	0.93	0.79	1.43	1.16	1.45	1.19	0.84	0.73
2006	0.99	0.84	1.28	1.08	1.40	1.18	0.84	0.68
2007	0.72	0.60	1.10	0.93	1.20	1.00		
2008	0.76	0.66	1.21	1.01	1.12	0.93		
2009	0.86	0.74	1.11	0.92	0.99	0.83		
2010	1.29	1.09	1.38	1.16	0.82	0.67		
2011	1.21	1.04	1.41	1.18	0.78	0.65		
2012	1.28	1.10	1.38	1.13				
2013	1.31	1.13	1.22	1.01				
2014	1.06	0.90	0.98	0.84				
2015	1.08	0.92	0.65	0.54				
2016	1.19	1.02	0.62	0.53				
2017	0.98	0.85						
2018	0.90	0.78						
2019	0.86	0.74						
2020	0.49	0.40						
2021	0.45	0.38						

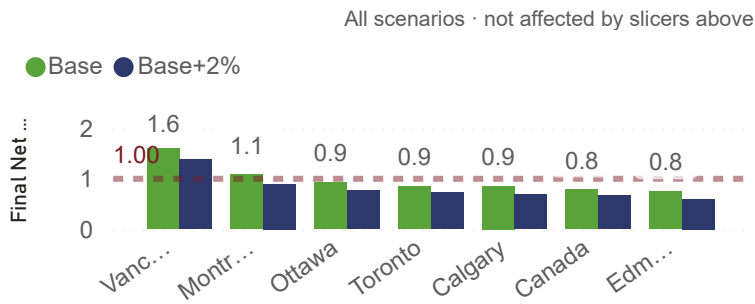
Final Inflation-Adjusted Net Worth Ratio (Owner/Renter) by Holding Years and Mortgage Rate

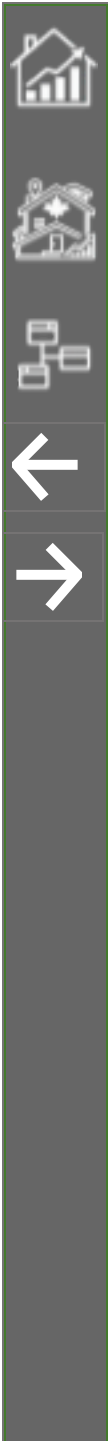


Final Inflation-Adjusted Net Worth Ratio (Owner/Renter) by Purchase Year and Mortgage Rate



Final Inflation-Adjusted Net Worth Ratio (Owner/Renter) by City and Mortgage Rate





city

Toronto

Purchase Year

2005

holding_years

20

portfolio_name

TSX

Mortgage Rate Adjustment

-2.00

-2.00

Mortgage Rate Adjustment (pp)

1.27

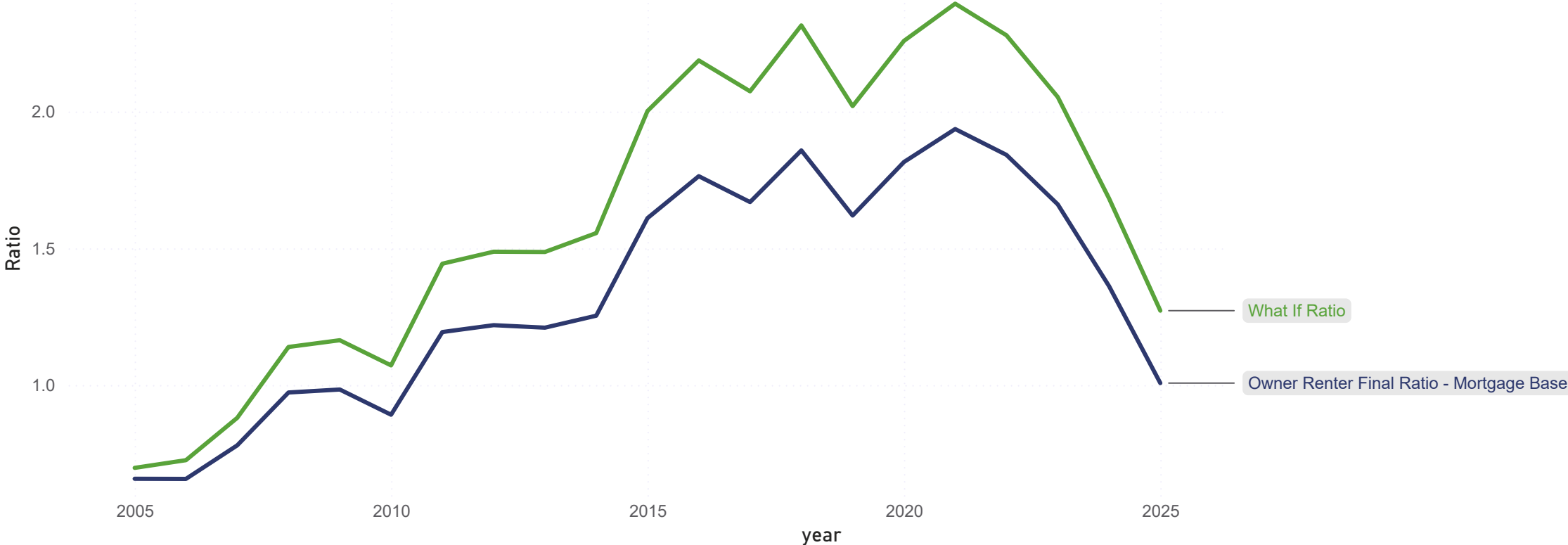
What If Ratio

1.01

Owner Renter Final Ratio - Mortgage Base

Real Net Worth: Base vs. What-If Mortgage Rate

What If Ratio Owner Renter Final Ratio - Mortgage Base





Market ▼

Toronto ▼

Purchase Ye... ▼

2005 ▼

Holding Peri... ▼

20 ▼

Portfolio ▼

TSX ▼

Mortgage S... ▼

Base ▼

Outcome Sensitivity Across Tested Scenarios

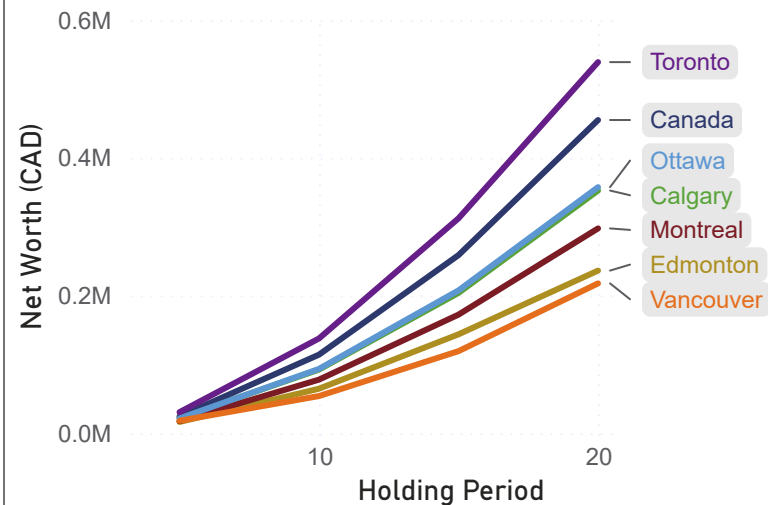
Each sensitivity varies one driver across its tested values while holding all other selected settings constant.

Driver	Relative Impact	Outcome Range	Highest Gap → Lowest Gap
Portfolio choice		\$539K	TSX → S&P 500
City		\$245K	Toronto → Vancouver
Mortgage rate		\$93K	Higher → Base

Sensitivity = highest – lowest final Owner–Renter real net-worth gap when varying one driver at a time.

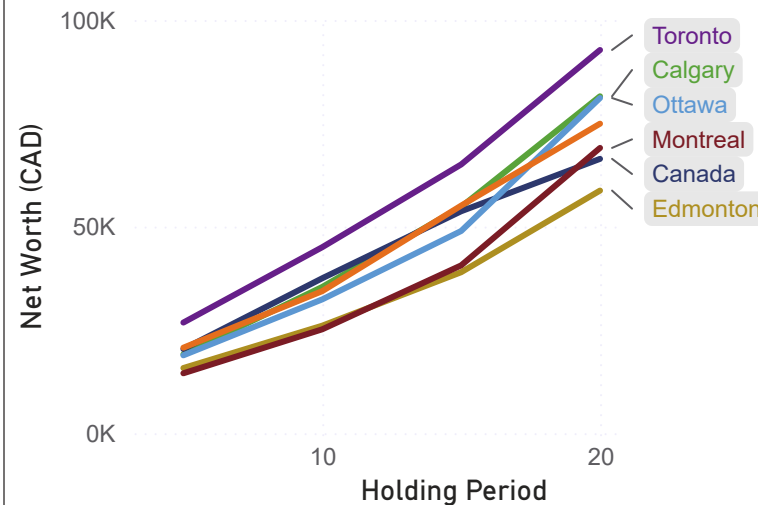
Portfolio Sensitivity by Holding Period

Sensitivity Trends Across Markets



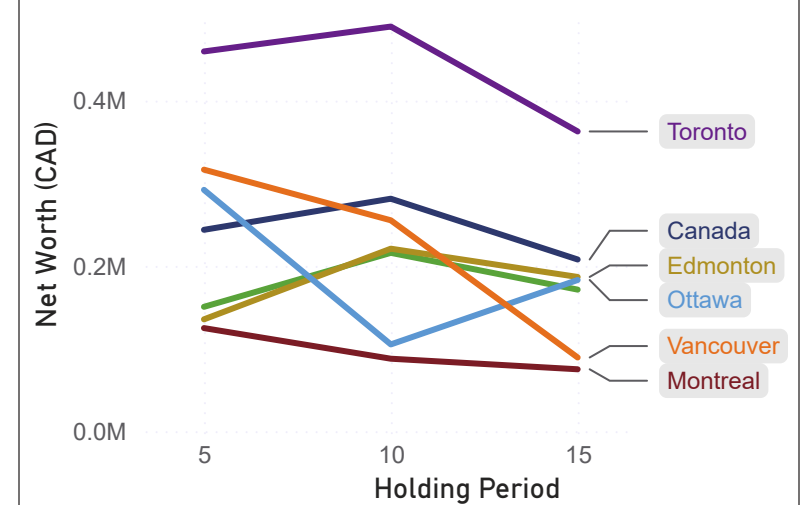
Mortgage Rate Sensitivity by Holding Period

Sensitivity Trends Across Markets



Purchase Timing Sensitivity by Holding Period

Sensitivity Trends Across Markets



City Sensitivity by Holding Period

Max–min outcome range across cities





2.0%

Canada Housing Real
CAGR (from 1990)

3.9%

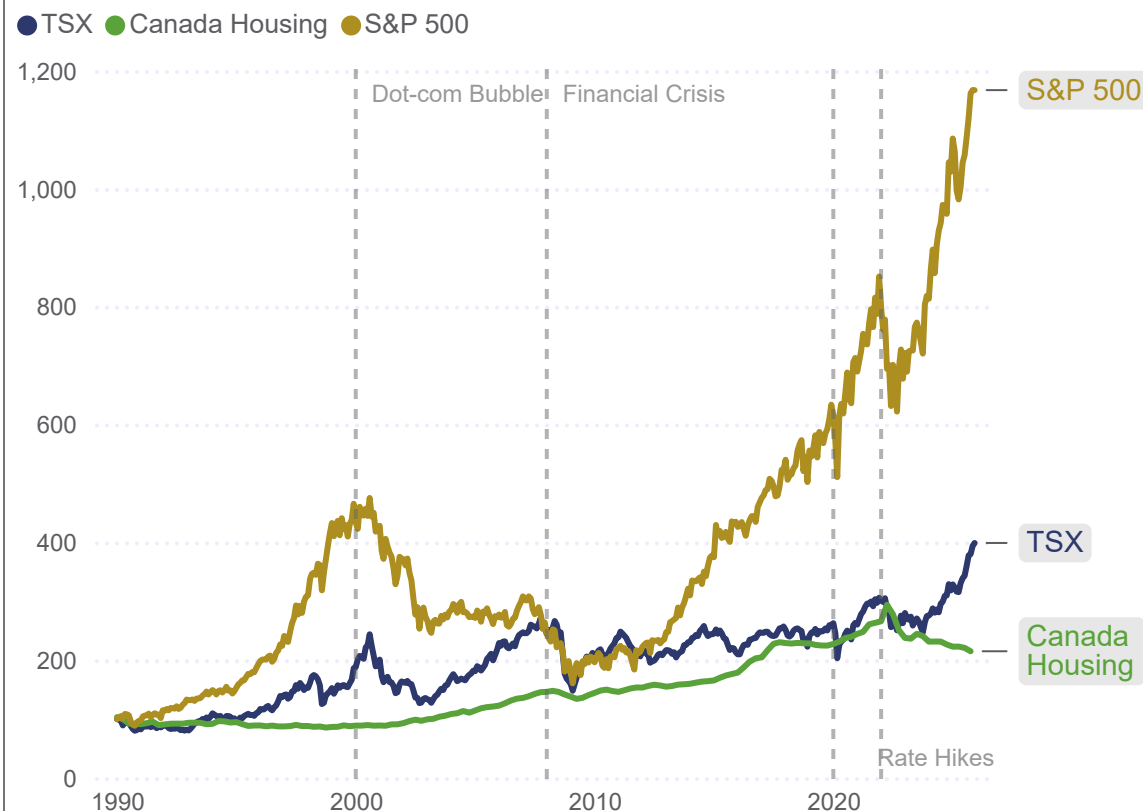
TSX Real CAGR (from
1990)

7.1%

S&P 500 Real CAGR
(from 1990)

Long-Term Real Growth of Canadian Housing and Equity Markets (1990–2025)

Inflation-Adjusted Indexed Growth (1990.01 = 100)



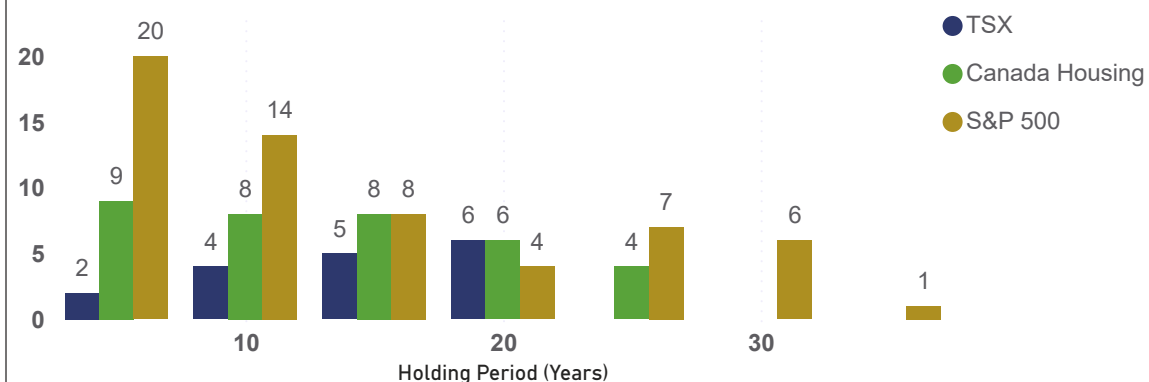
key insights: Over 35 years, U.S. equities delivered the strongest real growth, while Canadian housing was more stable but produced lower price appreciation. However, housing returns also depend on leverage, shelter value, and ownership costs.

Note: Equity series reflect index price performance and do not include reinvested dividends; housing reflects price appreciation only and excludes

Best-Performing Asset by Entry Period and Holding Horizon

start year	5	10	15	20	25	30	35
1990	S&P 500	S&P 500	S&P 500	TSX	S&P 500	S&P 500	S&P 500
1995	S&P 500	TSX	TSX	TSX	S&P 500	S&P 500	
2000	Canada Housing	Canada Housing	Canada Housing	Canada Housing	Canada Housing		
2005	Canada Housing	Canada Housing	S&P 500	S&P 500			
2010	S&P 500	S&P 500	S&P 500				
2015	S&P 500	S&P 500					
2020	S&P 500						

Number of Winning Scenarios by Asset and Holding Period



Sources: BIS RPPS, Yahoo Finance, FRED, Statistics Canada; author calculations.



2.87%

Canada Housing Real CAGR (from 2005)

3.84%

TSX Real CAGR (from 2005)

7.22%

S&P 500 Real CAGR (from 2005)

4.14%

Vancouver

3.34%

Montreal

3.17%

Toronto

2.59%

Ottawa

2.48%

Calgary

2.14%

Edmonton

Selected City
Toronto

Regional Housing Market Structures in Canada (2005–2025)

Inflation-Adjusted Indexed Growth (2005.01 = 100)



Regional Housing Competitiveness Across Investment Horizons

start year	5	10	15	20
2005	Edmonton	Edmonton	S&P 500	S&P 500
2006	Edmonton	Edmonton	S&P 500	
2007	Ottawa	Toronto	Toronto	
2008	Ottawa	S&P 500	S&P 500	
2009	S&P 500	S&P 500	S&P 500	
2010	S&P 500	S&P 500	S&P 500	
2011	S&P 500	S&P 500		
2012	S&P 500	S&P 500		
2013	S&P 500	S&P 500		
2014	S&P 500	S&P 500		
2015	S&P 500	S&P 500		
2016	S&P 500			
2017	Vancouver			
2018	Vancouver			
2019	S&P 500			
2020	S&P 500			

key insights:

Since 2005, regional dispersion has been wide — Vancouver's 4.14% real CAGR is nearly double Edmonton's 2.14% — yet only Vancouver outpaced the TSX, and no city came close to the S&P 500's 7.22%. Canadian housing's wins were front-loaded and short-lived: Edmonton, Ottawa, and Toronto led 5-to-10-year holds entered in 2005–2008, and Vancouver again in 2017–2018, but U.S. equities took almost every horizon of 15 years or more.

Sources: CREA MLS® Home Price Index, Yahoo Finance, Statistics Canada; author calculations.